

TAB 10



Board of Education Report

File #: Rep-215-22/23, **Version:** 1

Consideration of Two Business Improvement District Petitions

March 27, 2023

Facilities Services Division

Action Proposed:

Support of the renewal and expansion of the Lincoln Heights and Arts District Business Improvement District (BID) Petitions within the City of Los Angeles (City), conditioned upon the BIDs providing a discount of at least 50% or more of the proposed annual assessment, and authorize the Chief Facilities Executive or their designee to submit a petition(s) and subsequently a ballot(s) on behalf of Los Angeles Unified.

Background:

A BID is formed when interested parties unite to propose a BID to serve a specific purpose for an identified geographic area. The BID proposal identifies the general services, activities, and programs to be paid for through special assessments charged to all property owners within the BID. BID provides enhanced services which may include private security patrols (often referred to as ambassadors), sidewalk cleaning and pressure washing, graffiti removal, landscaping, maintenance improvements, special events, BID branding and marketing.

Each BID develops an annual budget based upon the services provided. The amount of each property owner's assessment of the budget is typically based on a formula that includes the square feet of the parcel and its buildings, and linear foot of frontage of the parcel. The assessments are collected by the City, placed in a trust fund for each BID and funds are periodically released to support operations within the particular BID. A BID can range from three to 10 years in duration. In order to form a BID or renew a BID, a majority of the property owners (50.1%) in the BID area must affirmatively vote in support. BID petitions are submitted to the City Clerk for review and must receive approval by the Los Angeles City Council. Ballots are then mailed by the City to the property owners. In order for the BID to be approved, the City must receive a positive response from the majority of the ballots received.

The Lincoln Heights and Arts District BIDs are both seeking a renewal of its BID and an expansion of their respective BID boundary. The BIDs will need to submit the petition to renew to the City by March 31, 2023 for the City Council to approve the renewal. Subsequently, the City Clerk will distribute ballots to property owners to vote on the renewal. The Lincoln Heights and Arts District BIDs are scheduled to renew as of January 1, 2024. The Lincoln Heights BID provides trash removal, street sweeping, graffiti removal, removal of bulky items, pressure washing, landscaping, marketing and branding, safety officers patrolling the BID seven days a week, 16 hours a day. The farmers market sponsored by the BID also provides internships for students as well as back to school and Christmas give aways. The Arts District BID provides trash removal, street sweeping, graffiti removal, removal of bulky items, pressure washing, landscaping, marketing and branding, and safety officers patrolling the BID 24 hours a day, seven days a week.

Historically, Los Angeles Unified has negotiated and received a reduced special assessment per BID. Los Angeles Unified will continue to negotiate a reduced special assessment per BID.

The annual amount for the special assessment projected by the BID management teams for the Lincoln Heights and Arts District BIDs is approximately \$92,038. Board of Education (Board) authority to support the BID renewals would be conditioned upon the BIDs agreeing to an assessment of at least 50% or less of the proposed amount or no more than approximately \$46,019 for 2024. If a BID does secure the required support, Los Angeles Unified would still be responsible to encumber and pay the cost associated with the special assessments. Staff would still attempt to seek a discount on the assessments.

BID	Term	*Proposed Assessment (2024)	Minimum 50% Discount of Assessment	Los Angeles Unified Properties within BID
Arts District	2024-2031	\$17,038	\$8,519	Metropolitan High School and Administrative Space for Beyond the Bell and Facilities Maintenance & Operations
Lincoln Heights	2024-2034	\$75,000	\$37,500	Gates Street Elementary School and Lincoln High School
		\$92,038	\$46,019	

* Proposed assessment subject to annual increases based on the BID budget.

The Lincoln Heights and Arts District BIDs are located in Region East and Board District 2 (Dr. Rocio Rivas).

Expected Outcomes:

Approval of the action will authorize the Chief Facilities Executive or their designee to execute the petitions in support of renewing the identified BIDs within the City, conditioned upon the BIDs providing a discount of at least 50% or more to Los Angeles Unified on the annual assessment and pay the annual assessment for each BID if the BID is renewed.

Board Options and Consequences:

A “yes” vote by the Board will authorize the Chief Facilities Executive or their designee to execute the petition of the BIDs including all necessary agreements to confirm the support of the BIDs, request the City Clerk to assess Los Angeles Unified an amount that is no more than 50% of the annual assessment, and provide the necessary General Funds to encumber the cost of the special assessment annually.

A “no” vote may result in one or both BIDs failing to obtain a majority affirmative vote of the property owners in the BID to be renewed. However, if a BID does secure the required support, Los Angeles Unified would still be responsible to encumber and pay the cost associated with the special assessments. Staff would continue to seek a discount on the assessments.

Policy Implications:

Los Angeles Unified does not have a current policy with regard to BIDs.

Budget Impact:

If successful in negotiating a discount on the assessment, the projected annual amount for the special assessment of these two BIDs in 2024 would begin at approximately \$46,019 in 2024 and be subject to increases based on the BID budget annually thereafter. Annual assessment for the BIDs will be provided by the General Fund.

Student Impact:

Improve cleanliness and safety around the school perimeter and the surrounding neighborhood.

Equity Impact:

A BID is a geographically defined area within the City, in which services, activities, and programs are paid for through a special assessment, which is charged to all members within the district in order to equitably distribute the benefits received and the costs incurred to provide the agreed-upon services, activities, and programs.

Issues and Analysis:

Article 13 D (Proposition 218) of the State Constitution states that “parcels within a Business Improvement District that are owned or used by any public agency, the State of California or the United States shall not be exempt from assessment unless the agency can demonstrate by clear and convincing evidence that those publicly owned parcels, in fact, receive no special benefit.”

Los Angeles Unified is not obligated to support the formation or renewal of a BID. Regardless of Los Angeles Unified’s support, if a BID is approved, Los Angeles Unified will be required to pay its special assessment unless there has been a formal determination that it is exempt.

The City has limited funding to provide certain services, and BIDs are able to supplement services that may benefit the community. Supporting a BID is voluntary by the Board, however Los Angeles Unified is obligated to pay the special assessment should the City Council vote to pass the BID petitions presented.

Attachments:

None

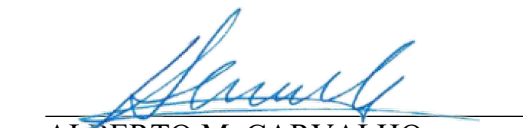
Informatives:

None

Submitted:

03/07/2023

RESPECTFULLY SUBMITTED,


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